25901026 Scheme for Valuation
MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-BVOC (HONOURS) Regular EXAMINATION November 2025
First SEMESTER
Skill Development Components (SDC) –
MG1SDCBFS102 - INTRODUCTIONTO FINANCIAL SERVICES
(2025 ADMISSION ONWARDS)
Duration: 2 Hours Maximum Marks: 70
Students should attempt at least one question from each course outcome to enhance their overalloutcome attainability.

Part A

Very Short Answer Questions. Answer any 10 questions. Each question carries 2 marks

1. Mention two ways financial services reduce financial risks. [U] / [CO1]

Financial services reduce risk through diversification of investments across different assets. They also provide insurance products that transfer risk from individuals to insurers. Professional financial advice helps avoid poor financial decisions. Hedging and risk assessment tools further minimize potential losses.

2. Mention the meaning of financial system. [U] / [CO2]

A financial system refers to the framework of institutions, markets, instruments, and services that facilitate the flow of funds in an economy. It connects savers with borrowers. The system promotes capital formation and economic growth. It ensures efficient allocation of financial resources.

3. Write the meaning of Insolvency and Bankruptcy Code (IBC) on loan recovery. [An] / [CO4]

The Insolvency and Bankruptcy Code (IBC) is a legal framework for resolving insolvency of individuals and firms. It provides a time-bound process for loan recovery by creditors. IBC improves recovery rates through asset resolution or liquidation. It strengthens credit discipline in the economy.

4. State the meaning of Mutual Fund. [An] / [CO4]

A mutual fund is an investment vehicle that pools money from multiple investors. The funds are invested in securities such as equities, bonds, or money market instruments. It is managed by professional fund managers. Mutual funds help investors achieve diversification.

5. Explain the term financial services. [U] / [CO1]

Financial services refer to services provided by financial institutions to manage money. These include banking, insurance, investment, and advisory services. They help individuals and businesses manage risk and wealth. Financial services support economic activity.

6. Name the two main types of financial markets. [U] / [CO2]

The two main types of financial markets are the money market and the capital market. The money market deals with short-term funds. The capital market deals with long-term securities. Both support efficient fund mobilization.

7. Explain the function of a Primary Agricultural Credit Society. [An] / [CO3]

A Primary Agricultural Credit Society provides short-term and medium-term loans to farmers. It supports agricultural activities and rural development. The society supplies credit at affordable interest rates. It also encourages savings among rural members.

8. Write the meaning of AI in banking. [An] / [CO3]
Artificial Intelligence in banking refers to the use of intelligent systems to automate processes. AI is used in customer service, fraud detection, and credit assessment. It improves efficiency and accuracy. AI enhances customer experience.

9. State the meaning of Wealth Management. [An] / [CO4]
Wealth management is a comprehensive approach to managing an individual's financial assets. It includes investment, tax, retirement, and estate planning. The objective is long-term wealth creation and preservation. It is customized to client needs.

10. State the meaning of Debt Fund. [An] / [CO4]
A debt fund is a type of mutual fund that invests in fixed-income securities. These include bonds, treasury bills, and corporate debt. Debt funds aim to provide stable returns. They involve lower risk compared to equity funds.

11. Mention the role of insurance services in risk management. [U] / [CO1]
Insurance services help transfer financial risk from individuals to insurers. They provide protection against uncertain events like accidents and illness. Insurance reduces financial losses and uncertainty. It ensures financial security.

12. Write the meaning of monetary policy. [U] / [CO2]
Monetary policy refers to the actions taken by the central bank to control money supply. It aims to regulate inflation and economic growth. Tools include interest rates and open market operations. Monetary policy ensures economic stability.

Part B
Short Answer Questions. Answer any 6 questions. Each question carries 5 marks
13. Explain the different types of Pension Fund. [An] / [CO4]
Pension funds can be broadly classified into government-sponsored, employer-sponsored, and private pension funds. Government pension funds include schemes like the National Pension System (NPS) and Atal Pension Yojana. Employer-sponsored pension funds cover schemes such as Employees' Pension Scheme (EPS) and superannuation funds. Private pension funds are offered by insurance companies and mutual fund-linked retirement plans. These funds differ in terms of contribution, risk, and return structure.

14. Explain the main functions of the Reserve Bank of India. [U] / [CO2]
The Reserve Bank of India acts as the central bank of the country. It regulates the issue of currency and maintains monetary stability. RBI controls credit through monetary policy tools. It acts as banker to the government and banks. RBI also supervises the banking system to ensure financial stability.

15. Explain the different types of E-Banking. [An] / [CO3]
E-banking includes services provided through electronic channels. Internet banking allows customers to access accounts online. Mobile banking enables transactions through smartphones. ATM banking provides cash withdrawal and basic services. Tele-banking and UPI-based services also form part of e-banking.

16. Describe how financial services promote entrepreneurship. [U] / [CO1]
Financial services provide access to credit and capital for new ventures. They offer advisory and financial planning support. Insurance services reduce business risks. Payment and digital banking services improve efficiency. Together, these services encourage entrepreneurial growth.

17. Describe the role of IRDA in the regulation and promotion of the insurance industry in India. [U] / [CO2]
IRDA regulates insurance companies to protect policyholders' interests. It issues licenses to insurers and intermediaries. IRDA ensures fair practices and financial solvency of insurers. It promotes competition and innovation in the insurance sector. The authority also works to increase insurance penetration.

18. Explain the different types of Development Banks. [An] / [CO3]
Development banks are institutions that provide long-term finance for development projects. Industrial Development Banks support industrial growth. Agricultural Development Banks finance farming and rural activities. Export-Import Banks promote foreign trade. State-level development banks support regional development.

19. Explain the different types of Commercial Banks. [An] / [CO3]
Commercial banks can be classified into public sector, private sector, and foreign banks. Public sector banks are owned by the government. Private sector banks are owned by private entities. Foreign banks operate branches in India. Each type offers deposit, loan, and payment services.

Part C
Essay Questions. Answer any 2 questions. Each question carries 10 marks
20. Explain the different types of financial institutions and their importance. [U] / [CO2]
Financial institutions are organizations that facilitate the flow of funds between savers and borrowers in an economy. Commercial banks accept deposits and provide loans, supporting trade and industry. Development banks provide long-term finance for infrastructure, industrial, and agricultural development. Insurance companies offer risk protection and financial security to individuals and businesses. Mutual funds mobilize small savings and invest them in diversified portfolios. Non-Banking Financial Companies (NBFCs) provide credit and financial services to underserved sectors. Cooperative banks support rural and agricultural communities. Stock exchanges enable trading of securities and capital formation. Central banks regulate the financial system and ensure monetary stability. Together, these institutions promote economic growth and financial inclusion.

21. Discuss the various primary and secondary functions of banks. [U] / [CO1]
The primary functions of banks include accepting deposits and lending money. Deposits provide a safe place for savings, while loans support consumption and investment. Banks also perform the function of credit creation. Secondary functions include agency services such as collection of cheques and payment of bills. Banks provide general utility services like lockers and remittance facilities. They facilitate fund transfers through electronic payment systems. Banks act as intermediaries in financial markets. They support trade finance and foreign exchange transactions. Banks also provide advisory and financial services. Thus, banks play a vital role in economic development.

22. Explain the meaning and importance of fund flow in an economy. [U] / [CO2]

Fund flow refers to the movement of financial resources between different sectors of the economy. It shows how savings are transferred from surplus units to deficit units. Fund flow analysis helps in understanding the sources and uses of funds. It aids policymakers in framing effective financial and economic policies. Efficient fund flow promotes investment and production. It supports balanced economic growth. Proper fund flow improves liquidity management in institutions. It enhances financial stability. Fund flow also helps in identifying financial imbalances. Overall, it is essential for a healthy economy.